

A) Company Snapshot

1. **Revenue streams:** the Home Depot sells building materials, home improvement and maintenance products. It generates revenue through products sales in store and online and by providing services like installation
2. **Differentiations:** it operates at a massive scale across the U.S, Canada, and Mexico. It also different from their competitors through a strategy called “pro” customer market which prioritizes customer needs as the foundation for business strategies

B) Income Statement Story

1. **Changes:** over the last 3 years, net sales have changed the most, increasing from 152,669 in year 1 to 164,683 in year 3. Net income showed a consistent decrease, falling from 15,143 in year 1 to 14,156 in year 3.
2. **Margin trend:** Gross margin remains very similar, moving from 33.4% in Year 1 and 2 to 33.3% in Year 3. But operating margin faced pressure, decreasing from 14.2% in Year 1 to 12.7% in Year 3. This trend is shown by the higher payrolls and transaction and integration costs included with the ownership of SRS and GMS

C) Balance Sheet Story

1. **Account changes:** total assets increased from 96,119 in year 2 to 105,095 in year 3. Short term debt also rose from 0 in year 1 to 4,464 in year 3. Equity had an increase rising from 1,044 in year 1 to reaching 12,813 in year 3.
2. **Changes:** shows an increasing leverage and financial risk taken to fund the company’s strategy in the market. While the acquisitions strengthen its competitive position, the increased debt shows a higher liability because of the high interest rate they got.

D) Cash Flow Story

1. **Net Income vs. CFO:** In year 3, the CFO was higher than the net income so the CFO moved against earnings because of the working capital fluctuations, including the timing of vendor payments and increased merchandise inventory levels.
2. **Summary:** the company is using its cash mostly to fund the multi billion dollar strategic acquisitions, fund capital expenditures, and pay dividends and increasing debt to maintain liquidity

E) Liquidity and solvency (Year 3)

1. **Current Ratio:** $34,391/32,424=1.06$
Working capital: $34,391-32,424=1,967$
Quick Ratio: $(1,389 \text{ cash} + 5,597 \text{ receivables})/32,424= 0.22$
2. **Solvency (Year 3)**
Total Liabilities/Equity: $92,282/12,813=7.20$
Total Liabilities/Total Assets: $92,282/105,095=0.88$
3. **Trend Interpretation:** These stats have gotten worse over time as the company utilized debt to finance the \$18,028 SRS acquisition. This matters because the high leverage

reduces the company's "margin for error" if high interest rates continue to make the demand for large construction projects weaker.

F) Market Metrics (EPS and P/E)

1. Diluted EPS:

Year 1: \$15.11

Year 2: \$14.91

Year 3: \$14.23

Trend: it's been decreasing consistently. The reasons are the increased interest expenses and integration cost.

2. P/E calculation: Using the closing price of \$357.87 on March 6, 2026 and Year 3 diluted EPS that is 14.23, the P/E ratio is 25.15

3. Interpretation: A P/E of 25.15 shows that the market has decently high growth expectations. People probably believe that the integrations will yield great profits and grab a large share of the professional contractor market.

G) Risks (from the 10-k)

1. Top Three Risks: Macroeconomics is affecting the housing market. Potential of cybersecurity events or infrastructure disruptions. Impact of tariffs and international disputes on trade.

2. Risk Impact:

Macro: it affects net sales, i would monitor comparable sales

Cyber: Affects SG&A, i would monitor operating margin

Tariffs: affects cost of sale, i would monitor gross margin

H) Recommendations

1. Action 1: prioritize debt reduction

Pro: improves solvency and financial flexibility.

Con: requires continuing the pause on share repurchase

Line item: Decrease long term debt, metric: Total Liabilities/Equity

2. Action 2: Execute synergies from SRS/GMS Integration

Pro: Drives record revenue in the professional market.

Con: High complexity in merging different distribution networks.

Line item: increase net sales, metric is operating margin

3. Action 3: optimize inventory turnover

Pro: improves operational cash flow.

Con: risk of "out of stock positions

Line item: Decrease merchandise inventories, Metric: inventory turnover ratio

Source Cited: 10-K, Item 7 (MD&A); 10-K, Item 8 (Financial Statements); 10-Q (Quarterly Report ending Nov 2, 2025); Nasdaq Market Data (March 6, 2026), 10-K, Note 13 (Acquisitions), Yahoo finance